

The State and 04 others.

2. According to the brief facts emanating from the file, the petitioner (Muhammad Bilal) moved an application to Anti-Corruption Establishment with the averments that he had purchased 75-Kanals of agriculture land situated in village Bilo Bania, Tehsil Sarai Alamgir, District Gujrat. He contacted Muhammad Ayub-Patwari for the attestation of the mutation of the sale of above land, who made a demand of Rs.200,000/-. Bargaining was settled for Rs.150,000/-.

Petitioner/complainant paid the above amount to Muhammad Ayub, Patwari (respondent No.2) on 14.04.2022 in the presence of witnesses namely Ashfaq son of Feroz Alam. Said Patwari sent the petitioner/complainant along with his Munshi Ajmal and one Shafat to the office of Muhammad Afzal Bhaddar, Naib Tehsildar (respondent No.3), where they received Rs.100,000/- from petitioner/complainant and gave to Muhammad Afzal Bhaddar, Naib Tehsildar (respondent No.3). Neither the needful was done, nor the said amount was returned back. During the preliminary inquiry, allegation was prima facie found to be correct, as such above said FIR was chalked out accordingly.

3. At the very outset, I think it appropriate to have a resort to relevant provisions of the law dealing with the proposition in hand.

4. When a criminal case is registered with local police, the police can prepare the cancellation report under Rule 24.7 of Police Rules, 1934, on three grounds i.e. if the case is found to be maliciously false, or false due to mistake of law or fact, or only non-cognizable offence is made out, or the matter discloses a dispute purely of civil nature. Said rule reads as under:-

“Rule 24.7:- When information or other intelligence is recorded under Section 154 Criminal Procedure Code, and, after investigation, is found to be maliciously false or false owing to mistake of law or fact or to be non-cognizable or matter for a civil suit, the Superintendent shall send the first information report and any other papers on record in the case with the final report to a Magistrate having jurisdiction and being a Magistrate of the first class, for orders of cancellation. On receipt of such an order the officer in charge of the police station shall cancel the first information report by drawing a red line across the page, noting

the name of the Magistrate cancelling the case with number and date of order. He shall then return the original order to the Superintendent's office to be filed with the record of the case."

When an application is moved to Anti-Corruption Establishment for the registration of a criminal case and the allegations levelled therein are not substantiated, the inquiry shall be dropped under Rule 6(6)(a)(b) of the Punjab Anti-Corruption Rules, 2014. Said rule is being reproduced below for the facility of reference:-

"Rule 6(6)(a)(b)

- a. if the allegations are not substantiated, the enquiry shall be dropped;*
- b. if sufficient evidence is not available for registration of a case but there is reasonable evidence on record for initiation of disciplinary action against the public servant, the authority shall refer the matter along with the complaint and complete record of enquiry and findings to the concerned departmental authority for disciplinary action under the law for the time being in force."*

If it is found that no case for registration of FIR is made out, but the circumstances require the initiation of disciplinary action against the public servant, the authority shall refer the matter to concerned departmental authority for taking action against the public servant accordingly.

5. Under Rule 10(1)(a)(b) of Anti-Corruption Rules, 2014, if after the registration of a criminal case, Anti-Corruption Establishment, during the investigation finds that allegation was not established, the case shall be dropped, and if it is found that judicial action is not warranted, but reasonable material is available for initiation of disciplinary action, the Establishment after confirmation of the cancellation report by the concerned court shall refer the matter to

concerned departmental authority. Above rule reads as under:-

“Rule 10(1)(a)(b):- Dropping of case or reference for departmental action.- (1) The following procedure shall be followed for dropping a case or, as the case may be, recommending disciplinary action:

- (a) *on completion of investigation, if the allegations are not established, the case shall be dropped and intimation to that effect shall be sent to the concerned administrative department and the public servant; and*
- (b) *if after investigation, it is found that judicial action is not warranted but reasonable evidence is available to initiate disciplinary action against the public servant, the Establishment shall, after the confirmation of the cancellation report by the concerned court, refer the matter to the competent authority for initiation of such action in accordance with law for the time being in force.”*

6. Now the other question to be determined is that what is the inter-se relation between Rule 24.7 of Police Rules, 1934 and Rule 10 of Punjab Anti-Corruption Establishment Rules, 2014, as both the said rules deal with the cancellation of case.

7. Punjab Anti-Corruption Establishment Rules, 2014 were framed by Governor of Punjab exercising powers under Section 6 of Punjab Anti-Corruption Establish Ordinance, 1961. Under Rule 14 of Rules, 2014, the Establishment shall follow the provisions of Punjab Police Rules as far as possible for the purpose of inquiry as well as investigation of scheduled offences. Said rule reads as under:-

“14. Application of the Punjab Police Rules.- *The Establishment shall, as far as may be, follow the provisions of the Punjab Police Rules for the time being in force for purposes of inquiry and investigation of offences specified in the Schedule.”*

8. Since Anti-Corruption Establishment Ordinance, 1961, under which the Rules, 2014 were framed, does not contain any “non-obstinate clause”. Its provisions were kept in addition to and not in derogation of other laws for the time being, vide Section 8 thereof, as such Rule 24.7 of Police Rules, 1934 and Rule 10 of Punjab Anti-Corruption Establish Rules, 2014 shall apply jointly to the cases recommended for cancellation by Anti-Corruption Establishment. In case of any conflict, the Rules, 2014 shall be given preference.

9. Combined effect and critical analysis of both the above rules is that the Establishment may submit cancellation report to the court on the grounds that the allegation could not be established, or the case was found to be maliciously false, or false due to mistake of law or facts, or judicial action is not warranted, or some dispute purely of civil nature was made out.

10. In the case in hand, the learned Special Judge Anti-Corruption, while agreeing with the cancellation report observed that witnesses of complainant (petitioner) namely Ajmal and Shifat Ali did not support the occurrence. They submitted affidavit to I.O. to the effect that no transaction of paying illegal gratification in their presence took place.

11. It was transpired from the record that Investigation Officer has also recorded the statement of witnesses namely Muhammad Arif son of Rehmat Khan and Bisharat son of Muhammad Arif (father and son). They supported the incident.

12. File further speaks that Alainay Khizar, Assistant Director, ACE (respondent No.) when prepared preliminary inquiry report dated 22.08.2022, he specifically rendered opinion recommending the registration of criminal case despite of the fact that in the above preliminary inquiry said Muhammad Ishfaq and Ajmal Shahzad had not supported the allegation.

13. It is pertinent to mention here that an order was passed earlier on 10.04.2024 by the said court, whereby the cancellation report was disagreed, thereafter no change accrued in the case, nor any new fact floated on the surface till today.

14. It was also reflecting that in the application moved to ACE for the registration of a criminal case, the petitioner/complainant specifically mentioned that he was also possessing the recording of the incident. The Investigating Officer instead of examining the authenticity of said evidence, made a report for the cancellation of the case, merely on the ground that two witnesses were not supporting the occurrence. Since two other witnesses namely Muhammad Arif and his son Bisharat have not extended any exoneration in favour of accused persons and are still firm on their stance, as such there is chance of conviction in this case.

15. Questions involved in the case are of the nature, for the determination of which recording of evidence and full-fledged trial is required. It cannot be presumed at this preliminary stage that the allegations were false, or the case was result of factual error or misunderstanding, or no offence

was made out. The learned Special Judge Anti-Corruption was supposed to act judicially, which he miserably failed. The impugned order dated 09.04.2026 was found to be factually incorrect as well as in flagrant violation of the law laid down by higher courts. It was illegal, unlawful and arbitrary, hence not sustainable in the eye of law, therefore, I accept the present petition and set aside the same. The learned Judge is directed to proceed further with the matter in accordance with law.

**(TANVEER AHMAD SHEIKH)
JUDGE**

APPROVED FOR REPORTING.

JUDGE

Shahzad Ahmad Nasir